

et al., 2021). The above-mentioned literature suggests the existence of a certain linkage between time series continuation and reversal.

Recently, however, Conrad and Yavuz (2017) argue that cross-sectional momentum and reversals are not pervasively linked to each other. This finding contradicts the conventional view that, if momentum and reversals are linked, the securities which exhibit momentum should also exhibit reversals soon afterwards. This increases our interest in investigating time series continuation and time series reversal.

In our empirical study, we decompose different trend-following strategies based on a portfolio of 55 of the world's most liquid commodity and financial futures. We find that time series momentum and reversal do *not* occur in the same group of assets. Those assets that show strong momentum profit do not experience significant reversal. This means that we arrive at a conclusion similar to that of Conrad and Yavuz (2017) regarding the cross-sectional analysis. Interestingly, we observe that instruments with sell signals (past “losers”) contribute to this type of reversal. By contrast, the instruments with buy signals (past “winners”) contribute much less.

Our finding challenges the prominent behavioural theories in the areas of momentum and reversal, especially the unified theory of Hong and Stein (1999). According to the latter, momentum and reversal can be generated simultaneously by a model based on a single risky asset. Therefore, Hong and Stein (1999) provide the behavioural explanation for momentum and reversal more in the time series context rather than in the cross-sectional one. The empirical results in the present study, suggest that time series momentum is *not* linked to time series reversal, implying that the unified theory of Hong and Stein (1999) could be misleading.

But, our results are consistent with several studies proposing that momentum and reversal should be treated as separate effects. George and Hwang (2004, 2007) put forward two separate theories to explain the two phenomena in which momentum is caused by anchoring bias whereas reversal is linked to capital gain lock-in theory. Yao (2012) suggest that the reversal effect could be driven by the January seasonality in the stock market, whereas momentum is not. A number of empirical studies suggest that reversal does not necessarily follow momentum in stock markets; see, e.g., Lee and Swaminathan (2000), Cooper et al. (2004), and Conrad and Yavuz (2017). Li